

VSM Vocabulary Card

Day 4 handout. The value-stream-mapping terms to keep straight while you map the feature's delivery flow and draft DP Section 4 — with an example for each.

Use this as your reference while you walk the stream, measure each step, and compute flow efficiency. The most-startling number is usually **flow efficiency** — single-digit percentages are typical.

Term	What it means	Example
Value stream	The whole flow from idea to value-realized	Idea → discovery → spec → build → ship → measure → iterate
Process time (PT)	Hands-on-work time at a step	"2 hours of actual coding"
Lead time (LT)	Total time at a step including waiting	"3 days from PR opened to merged"
Flow efficiency	$PT / LT \times 100\%$	2 hrs / (3 days = 24 hrs) = 8%
Queue	Work waiting between steps	"5 PRs waiting for review"
Cycle time	Lead time across the whole stream	"Idea to production: 6 weeks"
Throughput	Completed items per unit time	"3 stories per sprint"
WIP (Work In Progress)	Items currently being worked	"12 stories started, 4 done"
Little's Law	Cycle time = WIP / throughput	More WIP = longer cycle time

The one insight to remember: most of the time work spends in a system is *waiting*, not being worked on. A story might take 2 hours of coding but spend 3 weeks in the system. A TPM who optimizes coding time saves minutes; a TPM who reduces the waiting saves weeks.